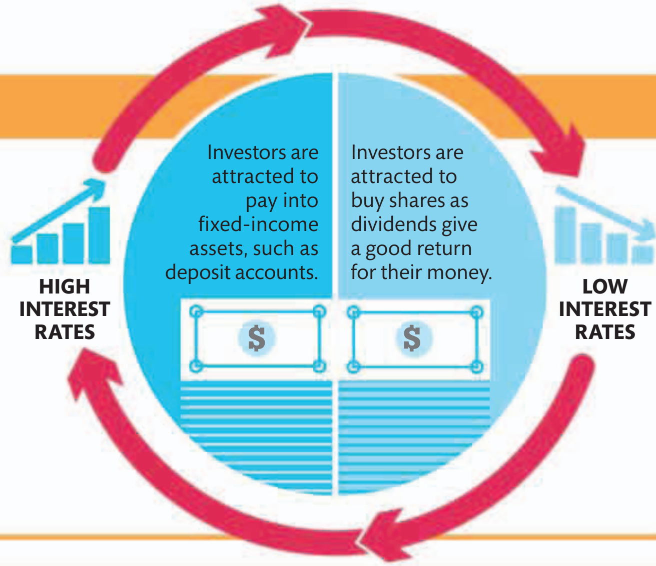
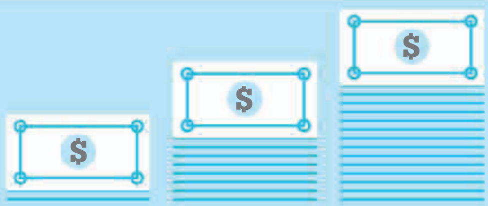
INTEREST RATES AND DIVIDENDS

When interest rates are low, shares with high dividend payouts become extremely attractive to investors because they provide a better return than investments that yield an interest payment. This economic climate encourages companies to pay out top-rate dividends and so attract as many investors as possible, which in turn increases the share value.

Conversely, when interest rates are rising, investors may prefer to put their money into fixed-income assets, which will pay high rates as a result of the hike without the risk attached to buying shares.



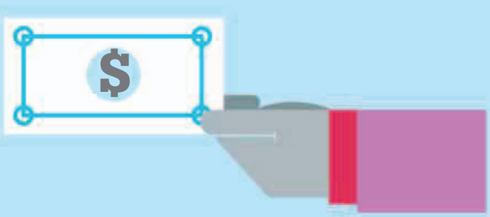


Keeping funds for growth

The company keeps some of its profit to put back into the business. It needs to strike a balance between pleasing investors and expanding its operation.

1602

the year the Dutch East India Company became the first company to issue stocks and bonds



Making the payment

Most dividends are cash dividends. Sometimes companies distribute stock dividends, issuing more shares instead of cash to shareholders.

Paying taxes

Shareholders must declare dividends on their tax return and pay taxes on them.